

**THE UNIVERSITY OF HONG KONG
FACULTY OF BUSINESS AND ECONOMICS**

MACC7024/PMAA7015/PMGM7035 ESG Reporting: Concepts and Practices

GENERAL INFORMATION	
Instructors: Prof. Anson JIANG Email: anson.jiang@hku.hk Office: Room 603, KK Leung Building, University of Hong Kong Consultation time: TBD Co-requisites: N/A Course materials: The lecture slides and other course materials will be available on HKU course Moodle.	
COURSE DESCRIPTION	
Companies are facing increasing pressure from investors and stakeholders to provide high-quality reports on their sustainability performance and environmental, social, and governance (ESG) matters. This course offers an in-depth and comprehensive discussion of ESG reporting with an emphasis on its practical application in the business world. Major topics include ESG reporting standards, corporate disclosure of ESG matters, ESG ratings, and carbon accounting. Related issues on financial reporting, performance measurement, and carbon pricing will also be discussed.	
COURSE OBJECTIVES	
1. Provide students with advanced knowledge of ESG reporting and disclosure. 2. Help students gain insights on how sustainability reports and ESG disclosures are used by investors, regulators, and other stakeholders. 3. Develop students' data skills for analyzing corporate ESG issues. 4. Develop students' ability to form critical judgement on firm's ESG performance and apply analytical and quantitative techniques to construe the ESG information. 5. Prepare students for a career in ESG reporting, consulting, assurance, and investing.	
PROGRAMME LEARNING OUTCOMES	
PLO1: Acquiring and internalizing accounting and business knowledge and skills PLO2: Applying and integrating accounting and business knowledge PLO3: Inculcating professionalism and leadership PLO4: Developing a global outlook PLO5: Mastering communication skills	
COURSE LEARNING OUTCOMES	
Course Learning Outcomes	Aligned Programme Learning Outcomes
CLO1: Explain theories and concepts underlying ESG reporting	PLO1
CLO2: Analyse and prepare ESG reports	PLO1, 2, 3
CLO3: Evaluate the global application of ESG reporting standards	PLO2, 3, 4
CLO4: Predict the market impacts of firm's mandatory and discretionary disclosures on ESG performance	PLO1, 2, 3, 4
CLO5: Develop skills in analyzing, synthesizing, writing and presenting corporate ESG reporting cases as well as team-working skills	PLO2, 3, 5

COURSE TEACHING AND LEARNING ACTIVITIES			
Course Teaching and Learning Activities		Expected Hours	Study Load (% of study)
T&L1. Interactive lectures		25	25%
T&L2. In-class discussions, tests, and case studies		15	15%
T&L3. Homework assignment of ESG report analysis		10	10%
T&L4. Group project (discussion and presentation)		20	20%
T&L5. Self-study		30	30%
Total		100	100%
COURSE ASSESSMENT METHODS			
Assessment Methods	Brief Description	Weight	Aligned Course Learning Outcomes
Class attendance and discussion participation	Students are encouraged to participate actively in the in-class discussions. Absence from lectures will negatively affect the class performance.	20%	CLO1, 2, 4, 5
In-class tests	Students will take two short quizzes in class. Each quiz corresponds to a summary of a learning stage.	30%	CLO1, 2, 4, 5
Individual homework assignment	Students are required to complete one homework assignment which relates to the analysis of the sustainability report of a listed company from the perspective of ESG rating agencies. This homework is an individual-based assignment.	15%	CLO1, 2, 3, 4, 5
Group project	Students should form groups by themselves. Each group is required to work on one of the selected cases. Each group will present their work in class.	35%	CLO1, 2, 3, 4, 5
	Total	100%	
STANDARDS FOR ASSESSMENT			
Course Grade Descriptors			
A+ A A-	Demonstrate evidence of original thought, strong analytical and critical abilities as well as a thorough grasp of the topic from background reading and analysis; should demonstrate excellent team-working performance.		
B+ B B-	Demonstrate evidence of critical and analytical thinking but not necessarily original in their thinking; show adequate grasp of the topic from background reading and analysis; should demonstrate strong team-working performance.		
C+ C C-	Demonstrate evidence of a reasonable grasp of their subject but most of their information is derivative, with little evidence of critical thinking; should demonstrate fair team-work performance.		
D+ D	Demonstrate evidence of being able to assemble the bare minimum of information, poorly digested and not very well organized in team-based work. There is no evidence of critical thinking.		
F	Demonstrate evidence of poor knowledge and understanding of the subject, a lack of coherence and organization, and answers are largely irrelevant. Work fails to reach degree level.		

Assessment Rubrics				
Class attendance and discussion participation				
A+ A A-	B+ B B-	C+ C C-	D+ D	F
Extremely well prepared for class discussion, active in sharing views, attended at least 90% of classes. Submitted all homework with 90% accuracy.	Partially prepared for class discussion, quite active in sharing views and attended at least 80% of classes. Submitted at least 80% of homework with 80% accuracy.	Not well prepared for class discussion, limited active in sharing views and attended at least 70% of classes. Submitted at least 70% of homework with 70% accuracy.	Not well prepared for Class discussion, no sharing of views and attended at least 60% of classes. Submitted at least 60% of homework with 60% accuracy.	Poorly prepared for class discussion and no sharing of views and experience and attended less than 60% of classes. Submitted less than 60% of the homework with less than 60% accuracy.
In-class Tests				
A+ A A-	B+ B B-	C+ C C-	D+ D	F
Provided accurate solutions to all problems, gave detailed and insightful responses to essay questions.	Provided accurate solutions to some problems, gave detailed responses to some essay questions.	Provided accurate solutions to a few problems, gave limited responses to some essay questions.	Provided inaccurate solutions to a few problems, gave unclear responses to most essay questions.	Skipped some problems or provided inaccurate solutions to most problems, gave poor responses to most essay questions.
Individual homework assignment				
A+ A A-	B+ B B-	C+ C C-	D+ D	F
The report is highly comprehensive and covers all relevant ESG issues in detail. It includes data and metrics that are relevant and useful for the ESG commitment. It is well-organized and easy to navigate.	The report covers most of the relevant ESG issues with some detail. It includes some relevant data and metrics, but many not be as robust as it could be. The report is generally well-organized, but may be difficult to navigate in some areas.	The report includes some information on relevant ESG issues, but may be incomplete or lacking in detail. The report includes some data and metrics, but may not be very useful or relevant. The report may be poorly organized or difficult to navigate.	The report is incomplete or missing information on many relevant ESG issues. It includes little or no relevant data or metrics. The report may be poorly organized and difficult to navigate.	The report is missing or incomplete on nearly all relevant ESG issues. It includes no relevant data or metrics. The report is disorganized and difficult to navigate.
Group project				
A+ A A-	B+ B B-	C+ C C-	D+ D	F
The presentation Demonstrated deep understanding and comprehension of the topic. The topic was covered in a highly professional and organized manner.	The presentation demonstrated sound understanding and comprehension of most aspects of the topic. The topic was covered in a professional and organized manner.	The presentation demonstrated good understanding and comprehension of most aspects of the topic. The topic was covered in an organized manner.	The presentation demonstrated basic understanding and comprehension of most of the topic. The topic was covered in a basic manner.	The presentation did not demonstrate sufficient understanding and comprehension of the topic. The topic was not covered at an acceptable level and was poorly organized.

COURSE CONTENT	
Session and Topic	Coverage
Session 1 Introduction to ESG Reporting	• Overview of ESG and sustainability • The purpose of business • Stakeholder theory • Case study: Demand for sustainability information
Session 2 Reporting Standard Setting and Corporate Disclosure Practices	• Conceptual framework for ESG reporting standards • ESG disclosure practices and insights • Voluntary disclosure theory • Legitimacy theory • Case study: Corporate disclosure practices
Session 3 ESG Reporting Frameworks	• GRI standards • The SDGs • Scenario analysis for climate risks (TCFD)
Session 4 Reporting “E&S” I: Carbon Emissions and Social Factors	• Boundary of a firm • Scope 1, 2, and 3 emissions • Carbon offsets
Session 5 Reporting “E&S” II: Carbon Emissions and Social Factors	• Employee safety, human rights, and gender diversity • Data security • Lenders, supply chains, and NGOs
Session 6 Reporting “G”: Governance Mechanisms	• Shareholder activism • ESG-linked executive compensation
Session 7 Sustainability Performance Evaluation I: ESG Ratings	• Major ESG rating agencies • ESG rating methodology • Discrepancy in ESG rating and measurement errors • ESG rating data analysis
Session 8 Sustainability Performance Evaluation II: Balanced Scorecard	• Balanced scorecard • Performance measurement issues • Case study: Using BSC to evaluate sustainability performance
Session 9 ESG Assurance; Group Presentation	• Assurance for sustainability reports • Student group presentations of final projects
Session 10 Group Presentation	• Student group presentations of final projects
REQUIRED/RECOMMENDED READINGS	
Materials provided by ESG reporting standard setters (e.g., International Sustainability Standards Board), corporate ESG disclosures, and case studies by renowned business schools.	

MEANS/PROCESSES FOR STUDENT FEEDBACK ON COURSE

- Student Feedback of Teaching and Learning (SFTL) will be conducted at the end of the course.
- Students can receive timely feedback through instructors' comments on exercises and tests.

COURSE POLICY

ACADEMIC DISHONESTY

The University Regulations on academic dishonesty will be strictly enforced! Please check the University Statement on plagiarism on the web: <http://www.hku.hk/plagiarism/>

Academic dishonesty is behavior in which a deliberately fraudulent misrepresentation is employed in an attempt to gain undeserved intellectual credit, either for oneself or for another. It includes, but is not necessarily limited to, the following types of cases:

- a. Plagiarism - The representation of someone else's ideas as if they are one's own. Where the arguments, data, designs, etc., of someone else are being used in a paper, report, oral presentation, or similar academic project, this fact must be made explicitly clear by citing the appropriate references. The references must fully indicate the extent to which any parts of the project are not one's own work. Paraphrasing of someone else's ideas is still using someone else's ideas, and must be acknowledged.
- b. Cheating on Exams - The covert gathering of information from other students, the use of unauthorized notes, unauthorized aids, etc.

ADDITIONAL COURSE INFORMATION

This course will utilize MOODLE. The course syllabus is tentative and subject to revisions.

T&L1: Interactive lectures

Interactive lectures using PowerPoint slides will be conducted, with lecturer explaining and illustrating the concepts. Students will be invited to share their views and experiences related to the topics discussed.

T&L2: In-class discussions, tests, case studies, and consultations

Throughout the course, the lecturer will pose discussion questions in class. Students are encouraged to participate in discussions and share opinions with their peers. Short in-class assessments will also be conducted at various stages to evaluate students' understanding and learning progress. Students are welcome to consult the instructor during the office hours for guidance and clarifications.

T&L3: Individual Homework assignment(s)

Each student will be required to hand in homework assignments, which are designed to provide practical experience and reinforce analytical skills covered in the course.

T&L4: Group project

Students will form groups to conduct case analyses to fostering teamwork and applied learning. Each group must submit their work by the specified deadline.

T&L5: Self-study

Students are expected to prepare for in-class discussions by reading the case studies before class, and to deepen their understanding by reviewing the lecture materials and recommended readings after class.